

Don't Go Backward

No matter how wealthy you become, you'll always be one bad decision away from going backward. With new options come new temptations, and you'll find yourself with some unexpected and exciting opportunities to blow a hole through your investments. For example, I talked to a guy a few years ago who had just paid off his house. It was the culmination of years of hard work and sacrifice, and he was so excited he didn't know what to do with himself. You'll never guess what he did to celebrate becoming debt-free: he financed a boat. That's right, he was so proud of himself for paying off his house that he went back into debt on a stupid boat. You see, he wasn't thinking clearly. He got a quick taste of financial independence, and it made him a little crazy. He let down his guard for an hour and financial stupidity was waiting for him on the boat lot. That one dumb decision set him back years of progress. I don't want that to happen to you, so you've got to pay attention to a few traps that will stop your progress and knock you backward. These tips will help you keep your guard up.

First, and this is just a blanket rule, debt should never be an option for you. Never. For anything at any time. Once you become debt-free and accomplish the monumental goal of paying off your house, that's it. Never again, for the rest of your life, sign up for a single dollar of debt—not even for something masquerading as an *investment*. If something has debt attached, it's not an opportunity; it's an obligation—and obligations limit your freedom.

Second, watch out for *lifestyle creep*. Sure, you need to give yourself permission to spend and to have a little fun with your hard-earned money, but keep that spending in check. Remember, the wealth you build will be your sole source of income for the rest of your life. Don't be scared to have some fun with it, but make sure that nice beach house won't end up stealing years' worth of your future income. Just because you *can* buy something doesn't mean you *should*.